

*From the New York Times best-selling author*

**Vince Stanzione**

# **7 Effective Trading Strategies**

**Every Trader Should Know**



**Proven  
strategies,  
real  
results**

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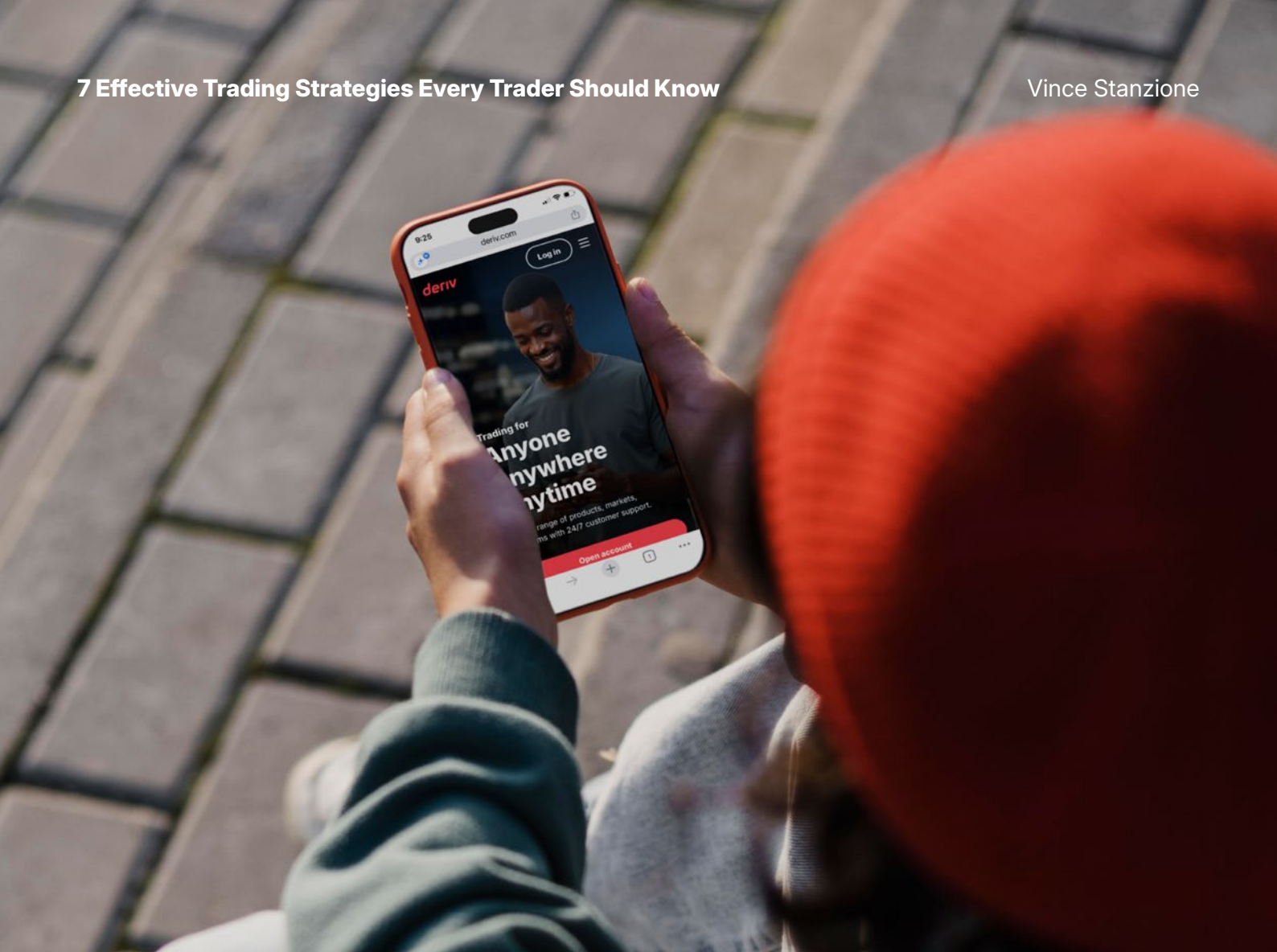
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## About Vince Stanzione

Vince Stanzione has been trading markets for over 40 years and is a self-made multi-millionaire. He is the New York Times bestselling author of *The Millionaire Dropout* and is the author of the “Making Money from Financial Spread Trading” course. He has been quoted and featured favourably in over 200 newspapers, media outlets, and websites, including CNBC, Yahoo Finance, MarketWatch, Business Insider, Reuters.com, Forbes.com, Investopedia, Independent, Sunday Independent, Observer, Guardian, The Times, Sunday Times, Daily Express, What Investment, Growth Company Investor, New York Times, Bullbearings, City Magazine, Canary Wharf, Institutional Investor China, and Shares Magazine.

He mainly lives in Mallorca, Spain, and trades financial markets, including currencies, stocks, and commodities. Follow him for updates on X (formerly Twitter) at @vince\_stanzione.

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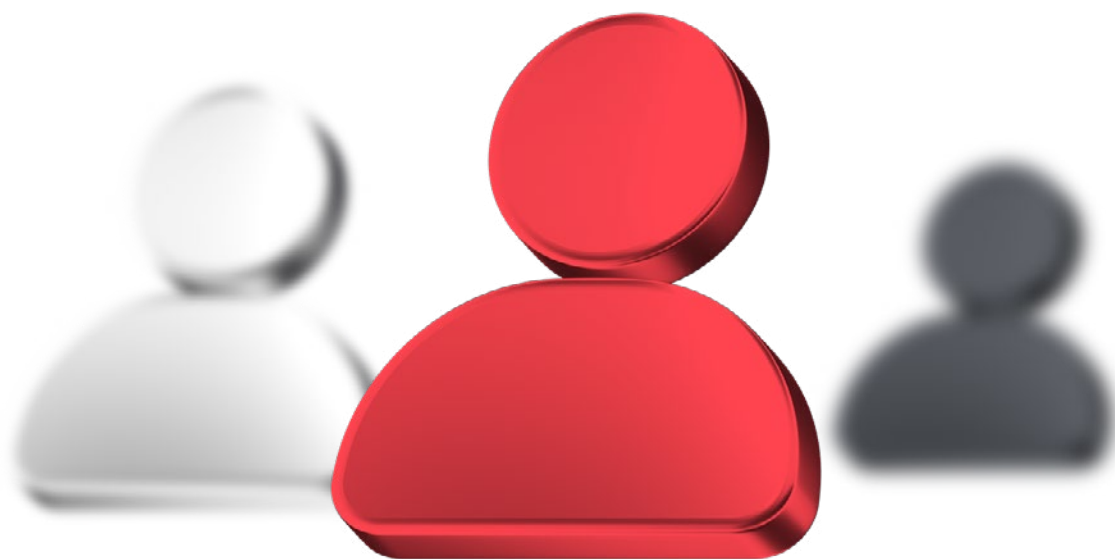
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## Introduction

In financial trading, there is no one-size-fits-all approach. Every strategy — from breakout trading to trend following — has its own advantages and disadvantages, and the secret is to choose the one that best suits your risk tolerance and trading style.

Just like we don't all wear the same clothes or drive the same colour or model of car, we don't all have to trade the same system or the same markets. Your time zone and lifestyle should also factor into the choice.



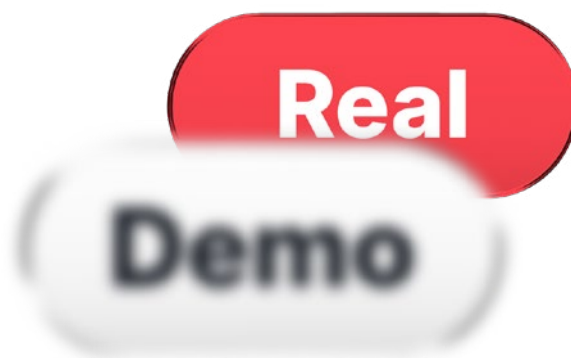
That said, many experienced traders run more than one strategy in parallel. I wouldn't recommend trying to trade all seven, especially when you're starting out. Pick one or two that suit you, learn them deeply, and build out from there.

Whichever strategy you choose, three things will determine your success: having a plan, controlling risk, and staying flexible enough to adapt. Keep learning, keep experimenting, and let experience refine your edge.

This ebook is best treated as an introduction and a starting point — a foundation you can build on as you develop. There are far more than seven strategies out there in the wider world of trading, but these are good places to start.

## Try before trading with real funds

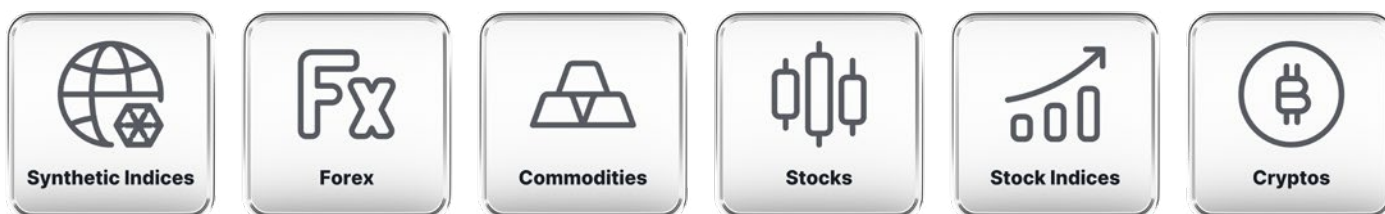
With Deriv, you have access to the full trading platform and tools, and a free demo practice account lets you test trading strategies without risk. When you're ready to trade with real money, you can open an account with as little as \$5.



## What markets to trade

In this ebook I am focusing on the strategies themselves rather than on specific markets. The systems I cover can be applied to any financial market that trades freely.

For market-specific guidance, you will find dedicated coverage of Synthetic Indices, forex, commodities, stocks and stock indices, and cryptos in my other ebooks. Links are in the useful websites section at the end.



## How to pick the best strategy for you

No single trading strategy works for everyone. Your goals, risk tolerance, time commitment, and comfort with volatility all shape what the right strategy looks like for you.

## Recognise your risk tolerance and your trading personality style

Successful trading is not just about watching prices or charts; your psychology and personality have a huge influence on your results. Do you prefer something steady, or are you comfortable riding sudden ups and downs?



If you prefer a slower pace, position trading and trend trading are likely to suit you better.



If you enjoy making quick judgments and can handle the pressure of short-term trading, day trading or scalping may be a better fit.

Rapid advances in technology and AI are driving fast growth in automation, and used well, these tools can genuinely help. But they don't replace the basics; you still need to learn the fundamentals and build a plan.



### **Continue learning and adapting**

I am now into my 41st year of trading and investing, and even now, I read and learn every day. Politics, economic events, and shifts in technology all influence how well a given strategy works at any moment.

Smart traders stay curious, never stop learning, and adapt their strategies as conditions change. Artificial intelligence (AI) is already making big changes in the way markets trade, and I believe that trend will only accelerate.

## Be wary of get rich quick systems

Avoid anything that promises a “secret trading system,” “quick easy gains,” or “guaranteed profits.” In today’s social media and AI world, flashy ads and fake success stories are everywhere, and new traders are the prime target. If something looks too good to be true, it almost always is.



Only rely on signals or advice from reliable, verified sources, and always do your own research. In all of my ebooks, including this one, I never make outrageous claims or guarantee overnight wealth. You also don’t need expensive software or a multi-screen trading desk. Despite what the ads suggest, none of it is required.

I have become very wealthy from trading financial markets, but it has not been an overnight success story. It rarely is.

## 7 trading strategies overview

Here is a brief overview of seven popular trading strategies, listed in alphabetical order. I will then explain each of them in detail.

### Breakout trading

Enters positions when price breaks above resistance or below support. With many excellent trading sites now available, finding these opportunities is far easier than it used to be, when you had to scan charts one by one. You can run filters and pattern-recognition systems instead, and most of them are free or low-cost. At the end of this ebook, I’ll share the sites and filters I use myself.

### Day trading

Buying and selling assets within the same trading day, often

holding positions for only minutes at a time. The style has grown in popularity alongside advances in technology, real-time pricing, faster internet, and low or zero commissions.

### **Momentum trading “Momo”**

Capitalises on strong price movement and trading volume to ride short bursts. The style has grown in popularity alongside platforms like Reddit and Twitter (X), where trading ideas are shared with millions of people around the globe in real time.

### **News trading**

Reacts to events and economic news to capture sudden market movements. Markets can swing sharply on a single trigger — a tweet from President Donald Trump, a central bank announcement, or a geopolitical flare-up. Commodities like Gold and Oil are particularly sensitive to geopolitical news.

### **Scalping**

Executes a high volume of small trades throughout the day to capture minimal price moves. It is best suited to a laptop or larger screen set-up. Scalping can also be automated using a trading bot, allowing you to set predefined rules for both entries and exits.

### **Swing trading**

Uses technical analysis to capture medium-term price movements over days or weeks. The typical approach is to go long into an upswing, then close and reverse (going short) into a downswing — allowing you to profit from both sides of the market.

### **Trend following — position trading**

Identifies sustained upward and downward movements for long-term gains. This is one of my personal favourites, a style that suits me, and one I’ve been using for well over 30 years. It can be used

to profit from both long (up) and short (down) trends.

Position trading is a long-term strategy built around major market trends and underlying fundamentals. Because position trading and trend following work hand in hand, I cover them together. Typically, it involves going long and holding for weeks, months, or even years, and you'll usually have more than one position running at the same time.

## Trading time frames

| Fast<br>(seconds to hours)                                                                                                                                    | Medium<br>(days to weeks)                                       | Long-term<br>(weeks to months)                                                               |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|----------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>• Breakout trading</li><li>• Day trading</li><li>• Momentum trading</li><li>• News trading</li><li>• Scalping</li></ul> | <ul style="list-style-type: none"><li>• Swing trading</li></ul> | <ul style="list-style-type: none"><li>• Position trading</li><li>• Trend following</li></ul> |

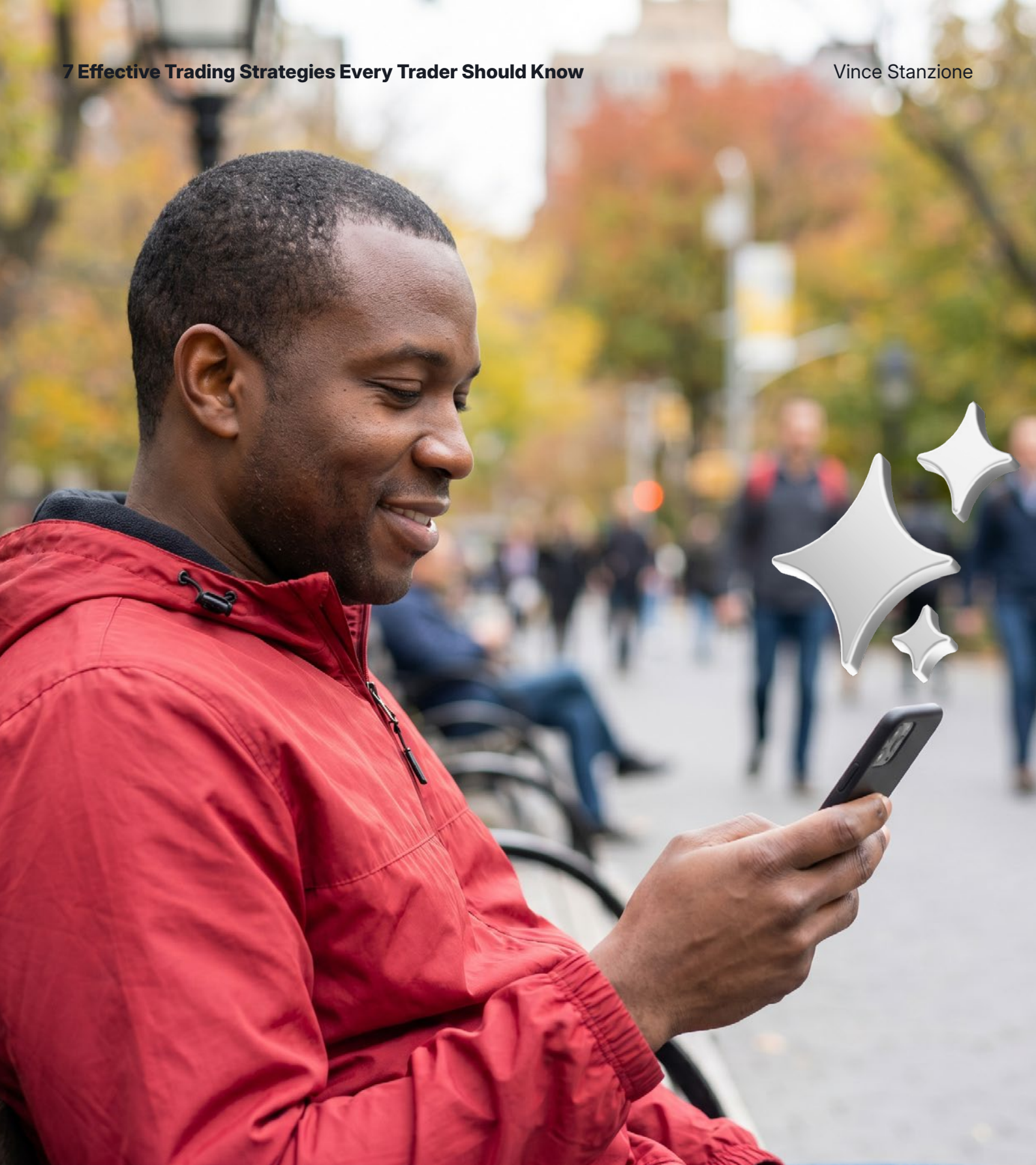
## Using AI

Before getting into the strategies themselves, it's worth considering how AI fits into your trading. Used well, it can cut down research time that previously took hours of manual work.

After each strategy in this ebook, you will find a checklist and a set of system ideas that you can paste directly into platforms such as Grok, Gemini, or ChatGPT as prompts. Don't rely on AI alone to make your trading decisions, but do treat it as a capable assistant.

With AI, the quality of the prompt is everything. A vague request gives you vague output, but a specific one does real work.

For example: "Show me the S&P 500 stocks that are up more than 1% today and are breaking out to a 20-day high." That kind of targeted prompt will surface candidates in seconds.



It's worth keeping some perspective, though. Sites like [finviz.com](https://finviz.com) and [barchart.com](https://barchart.com) have been offering filtering tools for many years — I have been using [barchart.com](https://barchart.com) myself for over 25 years. Filters and pattern recognition are not new; what AI changes is the speed and the natural-language ease with which you can apply them.

7 Effective Trading Strategies  
Every Trader Should Know

# **1 Breakout trading**

The aim of breakout trading is to spot when price pushes decisively above a key resistance level or below support, with the expectation that momentum will keep driving it further in that direction.

Markets trade in one of three states: uptrend, downtrend, or sideways range. A sideways range is like a ball bouncing between two fixed levels — the lower boundary (support) and the upper boundary (resistance). Price keeps testing these levels again and again, often over days or weeks, without making a clear directional move.

Support is where buyers step in — think of it as a floor.

Resistance is where sellers take control — think of it as a ceiling.

### PRICE ACTION IN A WELL-DEFINED RANGE

Price is stuck in a range, testing support and resistance multiple times over days or weeks without a clear breakout.



Here you can see an example of price action stuck in a well-defined trading range, with repeated tests of support and resistance. Eventually, the range breaks.

Price closes convincingly beyond one of the boundaries. A move up through resistance suggests a potential buy, while a break below support points to a short opportunity.

**BREAKOUT TRIGGER**

Price closes convincingly beyond one of the boundaries.

A move up through resistance suggests a potential buy.

**VOLUME CONFIRMATION**

A strong breakout should be accompanied by higher-than-average volume, showing real conviction behind the move.



The next charts show a strong, confirmed upside breakout, backed by higher volume and a clear change in momentum. This is your entry moment: either jump in right after the breakout candle closes, or wait for a small pullback to the old resistance (which often turns into new support).

The logic is simple: a real breakout releases all the built-up pressure. Traders caught on the wrong side of the range have to cover their positions, hitting stops and adding even more fuel to the move. Not every breakout is a true one. Some are false (fakeouts), where price pokes through the level briefly then reverses hard and goes back into the range, trapping early entries.

Here's a classic fake out example — looks promising at first but fails quickly.

**FAKEOUT EXAMPLE (BULL TRAP)**

Price breaks above resistance but fails to hold, then reverses sharply back into the range, trapping early long entries.

**Tips for trading breakouts**

To cut down on false signals: Wait for a full candle close beyond the level (don't enter mid-candle).

Look for clearly higher volume on the breakout — it shows real conviction at those prices.

Put your stop-loss just below the breakout level for longs (or just above for shorts) so if you're wrong, the loss stays manageable.

Risk only 1–2% of your trading capital per trade.

Real-time alerts and pattern recognition tools can help you spot breakouts faster and get in before the move really takes off.

Don't lose heart after a few false breakouts — it's just part of the business. With good money management, you keep the false breakout losses small, and then one or two good breakouts will pay those losses off and put you ahead.

## Breakout trading rules system — simple checklist

Use this step-by-step checklist for every potential setup to keep things disciplined and objective:

- **Identify a clear range** — Look for price stuck in a sideways consolidation (support/resistance tested multiple times, ideally 3+ touches each). Avoid choppy or trending markets without defined boundaries.
- **Wait for confirmation** — Require a full candle close (daily, 4-hour, or your chosen timeframe) beyond the level. No entries on wicks or mid-candle spikes.
- **Check volume** — Breakout candle should show higher-than-average volume (ideally 20-50%+ above recent average). Low-volume breaks are often fakeouts.
- **Align with trend (optional filter for higher probability)** — Prefer upside breakouts in uptrends (e.g., price above a key moving average like 50- or 200-period) and downside breaks in downtrends. Skip counter-trend breaks unless very strong.
- **Entry options**
  - Aggressive: Enter at/after breakout candle close.
  - Conservative: Wait for pullback/retest to the broken level (now support/resistance flip) and enter if it holds.
- **Stop-loss placement** — Just below the breakout level (for longs) or above (for shorts). Add a small buffer for volatility if needed.
- **Risk management** — Position size so max loss = 1-2% of account. Aim for reward:risk of at least 2:1 (e.g., target = measured move of prior range height projected from breakout).
- **Exit rules** — Trail stop (e.g., behind recent swing lows/highs) or target prior range height. Exit on signs of weakness (e.g., failure to hold new support).

- **Avoid traps** — Skip if near major news/events, low liquidity times, or if price has already run far (extended moves often fake out)

This checklist filters out most weak setups and helps you focus on the higher-probability ones.

### Summary

When you trade breakouts with discipline, they can deliver large and fast moves in the market — price often accelerates forcefully once the range finally gives way. Patience is the main thing — wait for proper setups instead of forcing trades. The market gives you plenty of ranges and breakouts over time if you just watch carefully.

# 1. BREAKOUT TRADING

The aim of breakout trading is to spot when price pushes decisively above a key resistance level or below support, with the expectation that momentum will keep driving it further in that direction.

## MARKET STATES



A sideways range is like a ball bouncing between two fixed levels — the lower boundary (support) and the upper boundary (resistance). Price keeps testing these levels again and again, often over days or weeks, without making a clear directional move.

- SUPPORT** = where buyers step in (think of it as a floor).
- RESISTANCE** = where sellers take control (think of it as a ceiling).

## EXAMPLE: PRICE ACTION STUCK IN A TRADING RANGE



## STRONG, CONFIRMED UPSIDE BREAKOUT



## FAKEOUT EXAMPLE (BULL TRAP)



## TIPS FOR TRADING BREAKOUTS

1. Wait for close  
 Wait for a full candle close beyond the level. Don't enter mid-candle.
2. Higher volume  
 Look for clearly higher volume on the breakout — it shows real conviction.
3. Stop-loss  
 Place your stop-loss just below the breakout level (for longs) or just above (for shorts).
4. Risk 1-2%  
 Risk only 1-2% of your trading capital per trade.
5. Use tools  
 Real-time alerts and pattern recognition tools help you spot breakouts faster.
6. Stay disciplined  
 False breakouts are part of the business. Manage risk well and let the winners pay.

## BREAKOUT TRADING RULES SYSTEM – SIMPLE CHECKLIST

1. Identify a clear range  
 Look for price stuck in a sideways consolidation (support/resistance tested multiple times, ideally 3+ touches each). Avoid choppy or trending markets without defined boundaries.
2. Wait for confirmation  
 Require a full candle close (daily, 4-hour, or your chosen timeframe) beyond the level. No entries on wicks or mid-candle spikes.
3. Check volume  
 Breakout candle should show higher-than-average volume (ideally 20-50%+ above recent average). Low-volume breaks are often fakeouts.
4. Align with trend (optional filter)  
 Prefer upside breakouts in uptrends (e.g., price above a key MA like 50- or 200-period) and downside breaks in downtrends. Skip counter-trend breaks unless very strong.
5. Entry options  
 **Aggressive:** Enter at/ after breakout candle close.  
**Conservative:** Wait for pullback/retest to the broken level (now support/resistance flip) and enter if it holds.
6. Stop-loss placement  
 Just below the breakout level (for longs) or above (for shorts). Add a small buffer for volatility if needed.
7. Risk management  
 Position size so max loss = 1-2% of account. Aim for reward:risk of at least 2:1 (e.g., target = measured move of prior range height projected from breakout).
8. Exit rules  
 Trail stop (e.g., behind recent swing lows/highs) or target prior range height. Exit on signs of weakness.
9. Avoid traps  
 Skip if near major news/events, low liquidity times, or if price has already run far (extended moves often fake out).
10. Stay objective  
 Follow the plan every time. Discipline and consistency over emotions.



## SUMMARY

When you trade breakouts with discipline, they can deliver large and fast moves in the market — price often accelerates forcefully once the range finally gives way. Patience is the main thing — wait for proper setups instead of forcing trades. The market gives you plenty of ranges and breakouts over time if you just watch carefully.



7 Effective Trading Strategies  
Every Trader Should Know

## **2** Day trading

Day trading means buying and selling assets within the same trading session to capture profits from small intraday price movements. Every position is closed before the end of the day, which avoids the overnight gaps that news or events outside trading hours can cause.

Note: the “trading day” has expanded — many brokers now offer nearly 23-hour access on forex, indices, and more, running from Sunday evening (GMT) through Friday evening (GMT). The core rule, though, stays the same: no overnight holds.

A big advantage is leverage — you can control larger positions than your capital alone would allow, provided you exit by session close. Holding overnight typically requires extra margin and incurs swap or interest fees, especially on CFDs.

Day traders profit from intraday swings in highly liquid markets like major forex pairs, large-cap stocks, key commodities, or indices.

### **Why choose day trading?**

It eliminates overnight gap risk and lets you compound small daily gains. It’s fast-paced, gives quick feedback, and suits traders who thrive on intensity and screen time.

### **Essentials for beginners**

Stick to highly liquid assets with tight spreads and high volume (e.g., EUR/USD, major stock indices, or blue-chip stocks).

Use shorter timeframes like 5-minute or 15-minute charts.

Look for entries on momentum surges, breakouts from the opening range, or reversals at key support/resistance.

Risk management is everything: tight stop-losses, risk no more than 1% of your account per trade, and set a daily loss limit (e.g., stop trading after 2–3% drawdown).

 **Pros**

- Fast results and no overnight stress.
- Clear end to each session—no wondering what happens while you sleep.

 **Cons**

- Mentally demanding and requires constant focus.
- Spreads/commissions eat into profits, so you need an edge.
- High screen time.

Most beginners lose money due to overtrading, chasing, or revenge trades after losses. Start small, practice extensively on demo accounts—discipline beats everything else.

**Practical tips**

Think in hours, not months. If a trade goes against you, exit—don't hold overnight hoping for recovery. Review the news trading section for overlap (e.g., earnings releases often hit pre- or post-market). Trade during peak liquidity hours for cleaner moves. Use volatility filters or dynamic stops for protection, but keep it simple at first.

**Day trading rules system (simple checklist)**

Follow this step-by-step checklist to stay disciplined and avoid emotional decisions:

- **Pre-market preparation** — Scan for highly liquid assets (tight spreads, high volume). Build a watchlist of 3–5 instruments. Check economic calendar for major news—avoid trading right into big events unless experienced.

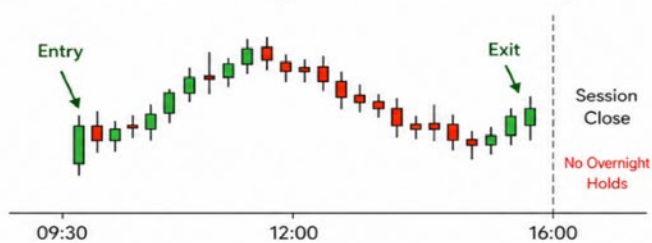
- **Define your session** — Trade only during high-liquidity windows (e.g., London/New York overlap for forex, first 2 hours after stock open). No trades outside your planned hours.
- **Identify setups** — Focus on momentum: opening range breakouts (first 15–30 min high/low), strong surges with volume, or pullbacks to key levels in the direction of early momentum. Align with any clear intraday bias (e.g., above VWAP for longs).
- **Wait for confirmation** — Require a full candle close beyond the trigger level (e.g., above opening range high). Look for higher-than-average volume on the move—low volume = likely fakeout.
- **Entry options**
  - Aggressive: Enter right after confirmation candle closes.
  - Conservative: Wait for a small pullback/retest that holds (e.g., to broken level or VWAP).
- **Stop-loss placement** — Tight: just below recent swing low (longs) or above swing high (shorts), or opposite side of the opening range. Keep risk to 1% max of account.
- **Risk management** — Position size based on stop distance so loss = 1% or less. Daily max loss: 2–3% of account—hit it and stop trading for the day. No revenge trades.
- **Exit rules** — Target at least 2:1 reward: risk (e.g., project range height or next level). Trail stops (behind swings or VWAP Volume-Weighted Average Price) once in profit. Exit all positions before session close—no exceptions.
- **Avoid traps** — Skip low-volume moves, choppy ranges, or setups near major news. Limit to 3–5 trades max per day. If nothing clear, sit out—markets aren't open every hour for a reason.

This checklist filters weak ideas, caps damage from bad days, and lets good momentum trades do the work.

## Summary

Day trading offers quick feedback and no overnight worries, but it demands iron discipline, constant attention, and flawless risk control. Patience and practising first on a demo account are key. Most success comes from avoiding big mistakes, not from chasing every move. The market gives you plenty of intraday opportunities if you watch carefully and trade only the best setups.

### INTRADAY ONLY (NO OVERNIGHT HOLDS)



Close all positions before the end of the day to avoid overnight gaps and unexpected news events.

### OPENING RANGE BREAKOUT SETUP



Price breaks above the opening range high with momentum and volume = potential long opportunity.

### RISK MANAGEMENT: 1% RISK RULE



Keep stop-loss tight below recent swing low.  
Risk no more than 1% of your account per trade.

### RISK vs REWARD EXAMPLE (2:1)



Aim for at least 2:1 reward to risk.  
Let winners run and keep losses small.

## 2. DAY TRADING

Day trading means buying and selling assets within the same trading session to capture profits from small intraday price movements.

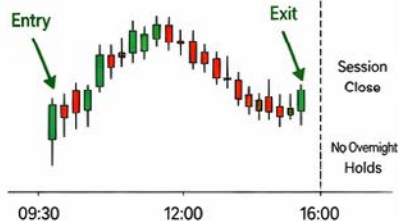
You close every position before the end of the day, avoiding overnight gaps caused by news or events outside trading hours.



### NOTE:

The "trading day" has expanded—many brokers now offer nearly 23-hour access on forex, indices, and more, from Sunday evening (GMT) through Friday evening (GMT). But the core rule stays the same: no overnight holds.

### INTRADAY ONLY (NO OVERNIGHT)



Close all positions before the end of the trading day.

### NEARLY 23-HOUR ACCESS



A big advantage is leverage—you control larger positions than your capital allows, as long as you exit by session close. Holding overnight often requires extra margin and swap/interest fees (especially on CFDs). You profit from intraday swings in highly liquid markets like major forex pairs, large-cap stocks, key commodities, or indices.

### OPENING RANGE BREAKOUT

Look for breakouts from the opening range (usually first 15–30 minutes of the session).



### MOMENTUM SURGE ENTRY

Enter on strong momentum moves with increasing volume.



### TIGHT STOP-LOSS EXAMPLE

Keep your stop-loss tight—just below recent swing low.



Risk no more than 1% of your account per trade.

### 2:1 RISK REWARD EXAMPLE

Aim for at least 2 times your risk.



Example: Risk 1% to make 2%.

### AVOID OVERTRADING (TRAP)

Choppy markets lead to many losing trades.



### PROS vs CONS

#### PROS

- ✓ Fast results
- ✓ No overnight risk
- ✓ Clear end to session
- ✓ Quick feedback

#### CONS

- ✗ Mentally demanding
- ✗ Costs eat into profits
- ✗ High screen time
- ✗ Most beginners lose money

### ESSENTIALS FOR BEGINNERS

- Stick to highly liquid assets (tight spreads, high volume).
- Use shorter timeframes (5-min or 15-min charts).
- Look for entries on momentum surges, breakouts from the opening range, or reversals at key levels.
- Risk management is everything: tight stop-losses, risk no more than 1% per trade, set a daily loss limit (2–3% drawdown).

### DAY TRADING RULES SYSTEM – SIMPLE CHECKLIST

#### 1. PRE-MARKET PREPARATION



Scan for liquid assets (tight spreads, high volume). Build watchlist (3–5). Check economic calendar for major news.

#### 2. DEFINE YOUR SESSION



Trade only during high-liquidity windows (e.g., London/New York overlap for forex, first 2 hours after market open). No trades outside your planned hours.

#### 3. IDENTIFY SETUPS



Focus on momentum: opening range breakouts (15–30 min high/low), strong surges with volume, or pullbacks to key levels in the direction of early momentum. Align with intraday bias (e.g., above VWAP for longs).

#### 4. WAIT FOR CONFIRMATION



Require a full candle close beyond the trigger level (e.g., above opening range high). Look for higher-than-average volume on the move.

#### 5. ENTRY OPTIONS



Aggressive: Enter right after confirmation candle closes.

Conservative: Wait for a small pullback/retest that holds (e.g., to broken level or VWAP).

#### 6. STOP-LOSS PLACEMENT



Tight: just below recent swing low (longs) or above swing high (shorts), or opposite side of the opening range. Keep risk to 1% max of account.

#### 7. RISK MANAGEMENT



Position size based on stop distance so loss = 1% or less.  
Daily max loss: 2–3% of account—hit it and stop trading for the day.  
No revenge trades.

#### 8. EXIT RULES



Target at least 2:1 reward:risk (e.g., project range height or next level).  
Trail stops (behind swings or VWAP) once in profit.  
Exit all positions before session close.

#### 9. AVOID TRAPS



Skip low-volume moves, choppy ranges, or setups near major news.  
Limit to 3–5 trades max per day.  
If nothing clear, sit out—markets aren't open every hour for a reason.

#### 10. STAY OBJECTIVE



Follow the plan every time.  
Discipline and consistency over emotions.

### PRACTICAL TIPS



Think in hours, not months.



If a trade goes against you, exit—don't hold overnight hoping for recovery.



Check news—earnings releases often hit pre- or post-market.



Trade during peak liquidity hours for cleaner moves.



Use vola filters or dynamic stops for protection.

### SUMMARY

Day trading offers quick feedback and no overnight worries, but it demands iron discipline, constant attention, and flawless risk control. Patience and practice on demo first are key—most success comes from avoiding big mistakes, not chasing every move. The market provides plenty of intraday opportunities if you watch carefully and trade only the best setups.



7 Effective Trading Strategies  
Every Trader Should Know

# **3 Momentum trading**

Momentum trading means buying assets rising strongly and selling (or shorting) those falling sharply.

In the short term, what's moving in one direction tends to keep going that way. This draws from Sir Isaac Newton's First Law of Motion: "An object in motion tends to stay in motion unless acted upon by an external force."

### How this applies to markets

A surging stock or asset stays in motion thanks to sustained buying, positive news, rising sentiment, FOMO, and herd behaviour. Momentum feeds itself: more participants pile in, pushing prices higher. The same logic works in reverse during sharp declines, where fear accelerates selling until a major catalyst halts it.

As traders often say: "The trend is your friend... until the end when it bends." Trends can persist powerfully, but they end when something breaks them — disappointing earnings, heavy profit-taking, a market reversal, or a major event.

Even geniuses get caught: Newton profited early in the South Sea Bubble of 1720, then re-entered near the peak and lost a fortune. He famously quipped that he could calculate the motion of the heavenly bodies, but not the madness of men.

*Reality check: Most stocks/assets barely move on any day—flat or drifting. Momentum traders ignore "dead money" and focus only on those showing significant action. Your capital belongs in the movers, not sidelined.*

## Practical momentum trading approaches

Breakout trades: Stocks breaking tight consolidations, key resistance, or patterns (e.g., bull flags) on strong volume. The breakout candle shows conviction—price pushing with expanding volume.

Quick scan: Pre-market or intraday biggest % movers. Target clean setups like bull flags or shallow pullbacks in uptrends.

Enter on breakout or healthy pullback, always with volume confirmation. Hold minutes to hours (or days in strong trends).

Exit when momentum fades: volume drops, price stalls, RSI hits overbought (typically 70+), or bearish divergence appears.

## Risk management essentials

Momentum reverses fast—one headline or story change ends it. Never chase extended moves. Risk no more than 1% of your account per trade. Use trailing stops to lock profits while letting winners run. Cut losses immediately—no hoping for comebacks.

## Additional tips that work in practice

Combine signals (volume spikes, RSI) with tools like AI sentiment from news/social media to gauge crowd strength.

Strongest moves often hit in the first 1–2 hours after open; afternoons can turn choppy.

Stick to liquid, high-volume assets to avoid wide spreads killing your edge.

Always define exits before entry. Discipline separates winners from the crowd.

## Momentum trading rules system (simple checklist)

Use this step-by-step checklist for every setup to stay objective and disciplined:

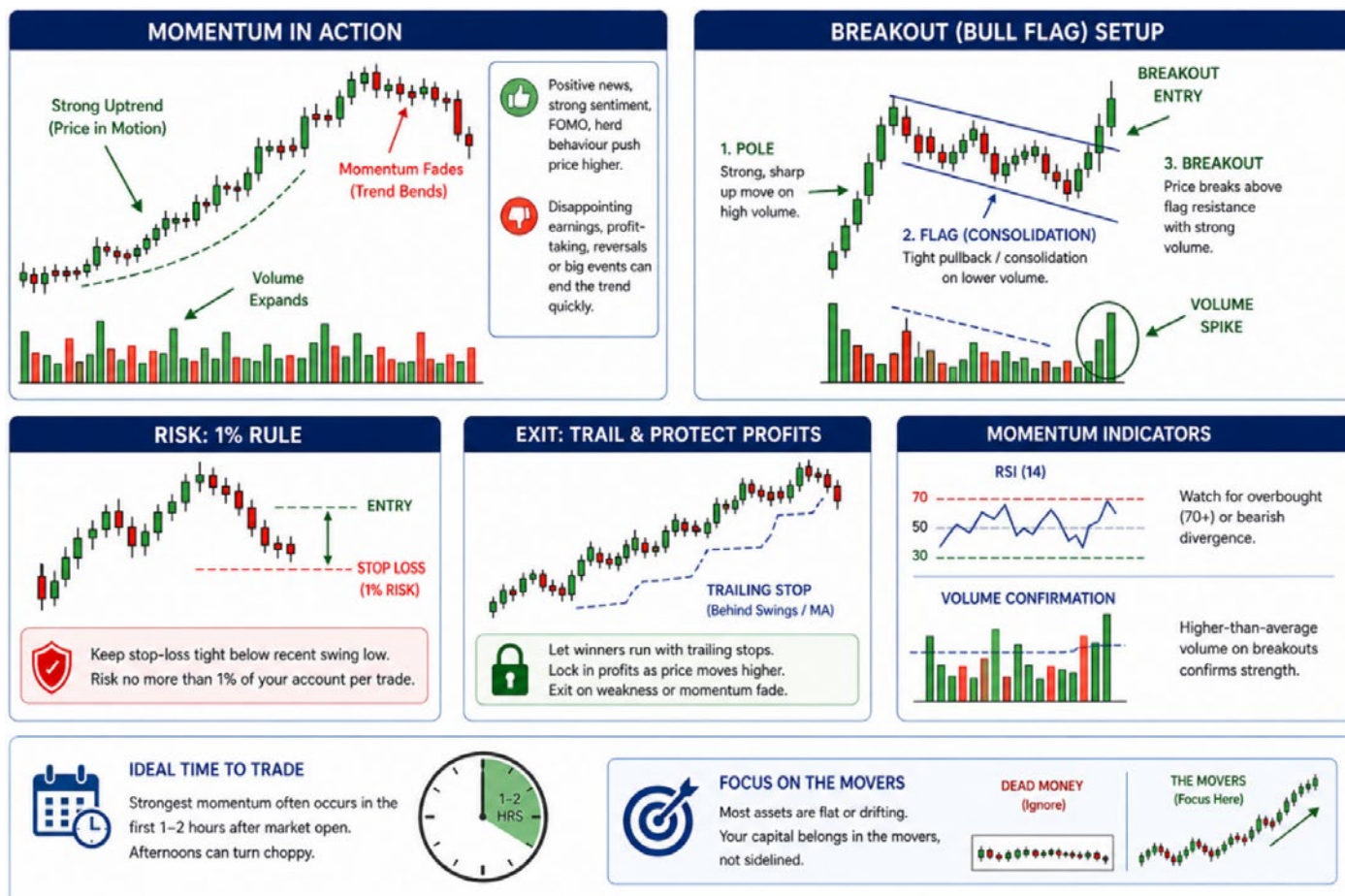
- **Scan for movers** — Focus on assets with strong recent momentum: top % gainers/losers (pre-market or intraday), relative strength vs. market/index, or breaking highs/lows. Ignore flat or low-volume names.
- **Confirm the trend** — Ensure overall bias aligns: price above key moving average (e.g., 50-period) for longs, below for shorts. Prefer trading with the broader market trend.
- **Identify setups** — Look for: Breakouts from tight consolidation, resistance, or patterns (e.g., bull flag: sharp pole up + tight pullback/consolidation).
- **Shallow pullbacks in strong trends** (e.g., to moving average or prior high/low).
- **Wait for confirmation** — Require: Full candle close beyond trigger (e.g., above breakout level or flag high).
- **Higher-than-average volume** (spike on move).
- **Momentum indicators supportive** (e.g., RSI above 50-60 for longs, not extreme overbought yet).
- **Entry options**
  - Aggressive: Enter on breakout confirmation.
  - Conservative: Wait for pullback/retest that holds (e.g., to broken level now support, or moving average).
- **Stop-loss placement** — Below recent swing low (longs) or above swing high (shorts), or below flag low. Add small buffer for volatility. Keep risk  $\leq 1\%$  of account.

- **Risk management** — Position size based on stop distance. Aim for 2:1+ reward:risk. Daily max loss limit (e.g., 2-3%)—hit it and stop. No revenge trades.
- **Exit rules** — Let winners run: Trail stops (behind swings, moving average, or Average True Range ATR-based). Take partial profits at targets (e.g., prior range projection). Exit on weakness: volume fade, RSI divergence, stall, or overbought extreme.
- **Avoid traps** — Skip extended/chased moves, low-volume, choppy ranges, or near major news. Limit trades per day. If no clear setups, sit out—momentum isn't forced.
- **Stick to the plan** —it filters noise, protects capital, and captures real momentum when it appears.

## Summary

Momentum trading aligns you with the market's natural energy rather than fighting it. In powerful trends, it can deliver some large and fast gains—winners run far when you let profits run and cut losses quick. It's fast-paced and suits action-oriented traders.

Momentum trading demands quick decisions, strict discipline, and a tolerance for sharp pullbacks. It's not for everyone. But if you master entries, exits, and risk control, it can give you a real edge in volatile markets. Test it out on a Deriv Demo account first and see whether it suits your style.



### 3. MOMENTUM TRADING

Momentum trading means buying assets rising strongly and selling (or shorting) those falling sharply.



Sir Isaac Newton's First Law of Motion:  
"An object in motion tends to stay in motion unless acted upon by an external force."

#### HOW IT WORKS

Strong buying, positive news, rising sentiment, FOMO, and herd behaviour drive prices higher—momentum feeds on itself. The opposite happens in sharp declines: fear accelerates selling until a major catalyst halts it.

##### UPTREND (MOMENTUM)

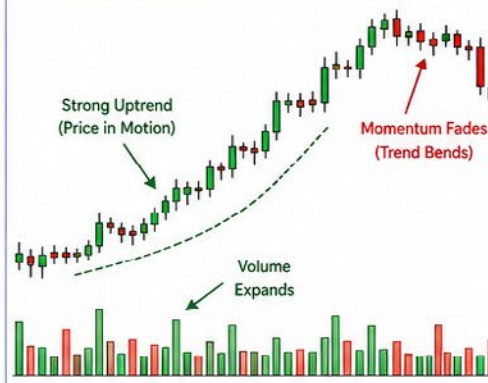


##### DOWNTREND (MOMENTUM)



The trend is your friend...  
until the end when it bends.

#### MOMENTUM IN ACTION



Positive news, strong sentiment, FOMO, herd behaviour push price higher.

Disappointing earnings, profit-taking, reversals or big events can end the trend quickly.



Even geniuses get caught: Newton profited early in the South Sea Bubble (1720), then re-entered near the peak and lost a fortune. He said he could calculate heavenly motions but not the madness of men.



#### PRACTICAL APPROACHES

- **Breakout trades:** Stocks breaking tight consolidations, key resistance, or patterns (e.g., bull flags) on strong volume.
- **Quick scan:** Pre-market or intraday biggest % movers. Target clean setups like bull flags or shallow pullbacks in uptrends.
- **Enter on breakout or healthy pullback,** always with volume confirmation.
- **Exit when momentum fades:** volume drops, price stalls, RSI hits overbought (typically 70+), or bearish divergence appears.



#### RISK MANAGEMENT ESSENTIALS



Momentum reverses fast—one headline or story change ends it.



Never chase extended moves.



Risk no more than 1% of your account per trade.



Use trailing stops to lock profits while letting winners run.



Cut losses immediately—no hoping for comebacks.



#### ADDITIONAL TIPS



Combine signals (volume spikes, RSI) with AI sentiment from news/social media to gauge crowd strength.



Strongest moves often hit in the first 1–2 hours after open; afternoons can turn choppy.



Stick to liquid, high-volume assets to avoid wide spreads killing your edge.



Always define exits before entry. Discipline separates winners from the crowd.

#### IDEAL TIME TO TRADE

FIRST 1–2 HOURS  
AFTER MARKET OPEN



Highest volatility  
& volume

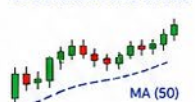
#### MOMENTUM TRADING RULES SYSTEM (SIMPLE CHECKLIST)

##### 1. SCAN FOR MOVERS



- Top % gainers/losers (pre-market or intraday)
- Relative strength vs. market or breaking highs/lows
- Ignore flat or low-volume names

##### 2. CONFIRM THE TREND



- Price above MA (50) for longs
- Price below MA (50) for shorts
- Prefer trading with the broader market trend

##### 3. IDENTIFY SETUPS



- Breakouts from tight consolidation, resistance, or patterns (e.g., bull flag)
- Shallow pullbacks in strong trends (to MA or prior high/low)

##### 4. WAIT FOR CONFIRMATION



- Full candle close beyond trigger (e.g., above breakout or flag high)
- Higher-than-average volume
- Momentum indicators supportive (e.g., RSI > 50–60 for longs)

##### 5. ENTRY OPTIONS



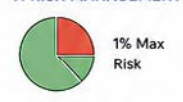
- **Aggressive:** Enter on breakout confirmation.
- **Conservative:** Wait for pullback/retest that holds (to broken level or MA).

##### 6. STOP-LOSS PLACEMENT



- Below recent swing low (longs) or above swing high (shorts), or below flag low
- Add small buffer for volatility
- Risk ≤ 1% of account

##### 7. RISK MANAGEMENT



- Position size based on stop distance
- Aim for 2:1+ reward:risk
- Daily max loss (2–3%)—hit it and stop
- No revenge trades

##### 8. EXIT RULES



- Let winners run with trailing stops (behind swings, MA, or ATR-based)
- Take partial profits at targets (e.g., prior range projection)
- Exit on weakness: volume fade, RSI divergence, stall, or overbought extreme

##### 9. AVOID TRAPS



- Skip extended/chased moves
- Avoid low-volume, choppy ranges, or near major news
- Limit trades per day
- If no clear setups, sit out—momentum isn't forced

##### 10. STAY DISCIPLINED



- Stick to the plan
- Control emotions
- Protect capital
- Let the process work

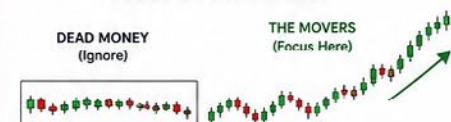


#### SUMMARY

Momentum trading aligns you with the market's natural energy rather than fighting it. In powerful trends, it can deliver some large and fast gains—winners run far when you let profits run and cut losses quick. It's fast-paced and suits action-oriented traders.

It demands quick decisions, strict discipline, and tolerance for sharp pullbacks which may not be for everyone. Master entries, exits, and risk control, and momentum gives a real edge in volatile markets. Test it out with a Deriv Demo account and see if it suits your trading style.

#### FOCUS ON WHAT MOVES



Your capital belongs in the movers, not sidelined.

7 Effective Trading Strategies  
Every Trader Should Know

# **4** News trading

News trading involves buying or selling assets based on the market's reaction to major announcements — economic data releases, company earnings, central bank decisions, or shifts in government policy. Any of these can trigger significant market movements within seconds.

Markets also respond quickly to unexpected news — a tweet from a high-profile figure like President Donald Trump or Elon Musk, or a geopolitical incident. Commodities like gold and oil are particularly sensitive to these kinds of developments.

News trading often complements the breakout and momentum strategies discussed earlier, where a news event becomes the catalyst that triggers a breakout. There are several different approaches you can take to profit from news:

### **Reactive trading**

When news is released, the market may react positively or negatively. You can trade in the direction of this initial move. Alternatively, you might “fade” the news, betting against the knee-jerk reaction—for instance, selling on good news (anticipating an overreaction) or buying after an initial sell-off on bad news, expecting a recovery. Financial markets frequently adopt a “sell first, ask questions later” mentality, leading to sharp sell-offs on poor earnings announcements, followed by potential rebounds as more details emerge.

X (formerly Twitter) remains an excellent source for real-time news and analysis.

### **Positioning ahead of news**

You can establish positions in anticipation of upcoming news, based on your analysis of potential outcomes. This requires careful research to gauge market expectations and position accordingly, while managing risk in case the news surprises the market.

## Pre-Planned News Events

Many news releases are scheduled in advance, such as government economic data or company earnings, which are typically announced before or after regular market hours. In the US markets I primarily trade, “earnings season” sees companies in the same sector report results around similar times — for example, banking stocks followed by technology firms. Online calendars are readily available to track these events.

Do your homework by comparing expected versus actual figures. Trade the volatility spike immediately after the release. Note that even strong earnings matching expectations can lead to price declines if forward guidance disappoints. Markets are forward-looking, so they focus on future prospects. Additionally, if a stock has rallied into earnings, you might encounter a “buy the rumour, sell the fact” scenario, where the price drops post-announcement despite positive news.

The good news is that with Deriv, you can use CFDs to trade both long and short, so you don’t have to be focused on just positive moves. Also, they now offer extended hours trading on major stocks, which means you can open and close trades during the “after hours” when earnings are released. Previously, you would have to wait until the next trading day.

## Checklist system ideas for news trading

Similar to the previous strategies, here’s a structured checklist to help implement news trading systematically. This can be adapted into your trading plan, with ideas for rules, risk management, and evaluation. Use it as a pre-trade routine to ensure discipline.

### Pre-trade preparation checklist

Identify Events: Review an economic or earnings calendar (e.g., via sites like [Investing.com](https://www.investing.com) or [Yahoo Finance](https://finance.yahoo.com)) for upcoming releases. Note the date, time, and expected impact (high/medium/low volatility).

**Research Expectations:** Analyse consensus forecasts (e.g., expected EPS for earnings or GDP figures). Check historical reactions to similar events for the asset.

**Assess Market Context:** Evaluate current trends— is the asset in an uptrend/downtrend? Has there been a pre-news run-up (potential “buy the rumour, sell the fact”)?

**Choose Approach:** Decide on reactive (post-news), fade, or pre-positioning. For fading, identify overreaction thresholds (e.g., >5% initial move).

**Select Assets:** Focus on news-sensitive ones like stocks, forex pairs (e.g., USD on Fed news), or commodities (gold/oil on geopolitics).

### **Entry rules checklist. Timing:**

For pre-planned news, enter positions 15-30 minutes before if positioning ahead, or wait 1-5 minutes post-release for reactive trades to avoid whipsaws.

**Confirmation Signals:** Use technical indicators from prior strategies (e.g., momentum oscillators or breakouts). Enter only if volume spikes confirm the move.

**Direction:** Buy on positive surprises/reactions; sell on negative. For fades: Buy after a 3-5% drop on bad news if support levels hold; sell after a rally on good news if resistance nears.

**Position Sizing:** Limit to 1-2% of capital per trade to manage volatility.

### **Exit and risk management checklist**

- **Stop-Loss:** Set tight stops (e.g., 1-2% below entry for longs) to protect against adverse moves. Use trailing stops if the trade goes in your favour.
- **Take-Profit Targets:** Aim for 2:1 risk-reward ratio (e.g., target 4% gain if risking 2%). Exit on reversal signals or after 15-30 minutes if volatility fades.

- **Avoid Overexposure:** No more than 3-5 news trades per day; skip if market conditions are unclear (e.g., low liquidity holidays).
- **News Sources:** Cross-verify with reliable real-time feeds like X/ Twitter, Bloomberg, or Reuters to avoid fake news.
- **Post-Trade Review Checklist. Journal Entry:** Record the news event, your rationale, entry/exit prices, and outcome. Note if expectations matched actuals and why the trade succeeded/failed.
- **Performance Metrics:** Track win rate, average gain/loss, and volatility impact over 10+ trades. Adjust strategy if the win rate is below 60%.
- **Emotional Check:** Did you stick to the plan? Avoid revenge trading after losses.
- **System Improvements:** Refine based on patterns (e.g., fade works better on earnings than economic data?).

## Summary

News trading is all about catching the big price moves that happen when important announcements hit the market — whether that's economic data, company earnings, central bank decisions, or surprise events like a major tweet or geopolitical flare-up.

Markets can react fast and strongly, so this strategy works well alongside the breakout and momentum approaches we covered earlier.

You have two main ways to play it: Jump in reactively right after the news and follow the initial move, or “fade” it by trading against the knee-jerk reaction.

Or position yourself ahead of scheduled news by studying what the market expects and managing your risk in case things go differently.

With Deriv, you can go long or short using CFDs and even trade during extended hours, so you're not stuck waiting until the next day after earnings.

The key to success is staying disciplined. Use the checklist system: prepare by checking the calendar and expectations, pick your approach, set clear entry rules with confirmation, protect every trade with tight stops, and always review what happened afterward. Keep your risk small (1-2% per trade) and don't overdo it a few well-planned news trades are better than many emotional ones. Master this, and you'll turn market-moving events from stressful surprises into clear trading opportunities.



## 4. NEWS TRADING

News trading involves buying or selling assets based on the market's reaction to major announcements.



### KEY CONCEPT

Markets often respond quickly to unexpected news events (e.g., tweets, geopolitical incidents). Commodities like gold and oil are particularly sensitive.



"Financial markets frequently adopt a 'sell first, ask questions later' mentality."

### THREE APPROACHES TO NEWS TRADING

#### 1 REACTIVE TRADING

Trade in the direction of the initial move, or fade the news (against the knee jerk reaction).



Use X (Twitter) for real-time news and analysis.

#### 2 POSITIONING AHEAD OF NEWS

Take positions before the announcement based on your analysis of potential outcomes.



Requires research, expectations analysis, and risk management.

#### 3 PRE-PLANNED NEWS EVENTS

Scheduled events like economic data or earnings (before/after market hours).



Compare expected vs. actual and trade the volatility spike.

### CHECKLIST SYSTEM FOR NEWS TRADING



#### 1. PRE-TRADE PREPARATION CHECKLIST

- ✓ **Identify Events:** Check economic/earnings calendar for upcoming releases (date, time, impact).
- ✓ **Research Expectations:** Analyse consensus forecasts and historical reactions for the asset.
- ✓ **Assess Market Context:** Evaluate current trend and pre-news run-up (buy the rumour, sell the fact?).
- ✓ **Choose Approach:** Reactive, fade, or pre-positioning. For fades, set overreaction thresholds (e.g., >5%).
- ✓ **Select Assets:** Focus on news-sensitive assets (stocks, forex, commodities).



#### 2. ENTRY RULES CHECKLIST

- ✓ **Timing:** Enter 15–30 min before (pre-positioning) or 1–5 min after release (reactive).
- ✓ **Confirmation Signals:** Use technical tools (momentum, breakouts) and volume spikes to confirm.
- ✓ **Direction:** Buy on positive surprises, sell on negative. For fades: buy after 3–5% drop on bad news (support holds); sell after rally on good news (resistance nears).
- ✓ **Position Sizing:** Limit to 1–2% of capital per trade.



#### 3. EXIT & RISK MANAGEMENT CHECKLIST

- ✓ **Stop-Loss:** Set tight stops (e.g., 1–2% below entry for longs). Use trailing stops if in profit.
- ✓ **Take-Profit Targets:** Aim for 2:1 risk-reward (e.g., target 4% if risking 2%). Exit on reversal signals or after 15–30 min if volatility fades.
- ✓ **Avoid Overexposure:** Max 3–5 news trades per day. Skip if market conditions are unclear (low liquidity, holidays).
- ✓ **News Sources:** Verify with X/Twitter, Bloomberg, Reuters to avoid fake news.



#### 4. POST-TRADE REVIEW CHECKLIST

- ✓ **Journal Entry:** Record event, rationale, entry/exit prices, outcome, and lessons.
- ✓ **Performance Metrics:** Track win rate, average gain/loss, and volatility impact over 10+ trades. Adjust if win rate below 60%.
- ✓ **Emotional Check:** Did you stick to the plan? Avoid revenge trading.
- ✓ **System Improvements:** Refine based on patterns (e.g., fade works better on earnings than economic data?).

#### NEWS RELEASE & MARKET REACTION



Markets react fast—price can move sharply in seconds.

#### FADE THE OVERREACTION



Buy after an overreaction if support holds and recovery signals appear.

#### EARNINGS TRADE EXAMPLE



Even good earnings can drop if expectations are high or forward guidance weak.

#### VOLUME CONFIRMATION



High volume confirms conviction; low volume signals weak moves.

#### NEWS SENSITIVE ASSETS

- Stocks (Earnings, M&A, Guidance)
- Forex (Central Bank Decisions, Data)
- Commodities (Gold, Oil, Geopolitics)
- Focus on assets that react most to news events.

### NEWS TRADING SUMMARY



News trading captures big price moves from major announcements: economic data, earnings, central bank decisions, policy changes, tweets, and geopolitical events.



Play it two main ways: follow the initial reaction (reactive) or fade the overreaction. You can also position ahead of scheduled news based on expectations.



With Deriv, trade long or short using CFDs and access extended hours for after-market events like earnings.



Discipline is everything: prepare, choose your approach, confirm entries, manage risk, and review results.



Risk small (1–2% per trade), avoid overtrading, and focus on quality setups.



Master these steps and turn market-moving news from stressful surprises into clear, repeatable trading opportunities.

#### KEY PRINCIPLES



Expect the unexpected.



Prepare and plan before the news.



Confirm the move—don't guess.



Protect capital with tight risk control.



Review and improve every trade.



Let the market's reaction work for you.

7 Effective Trading Strategies  
Every Trader Should Know

# **5** Scalping

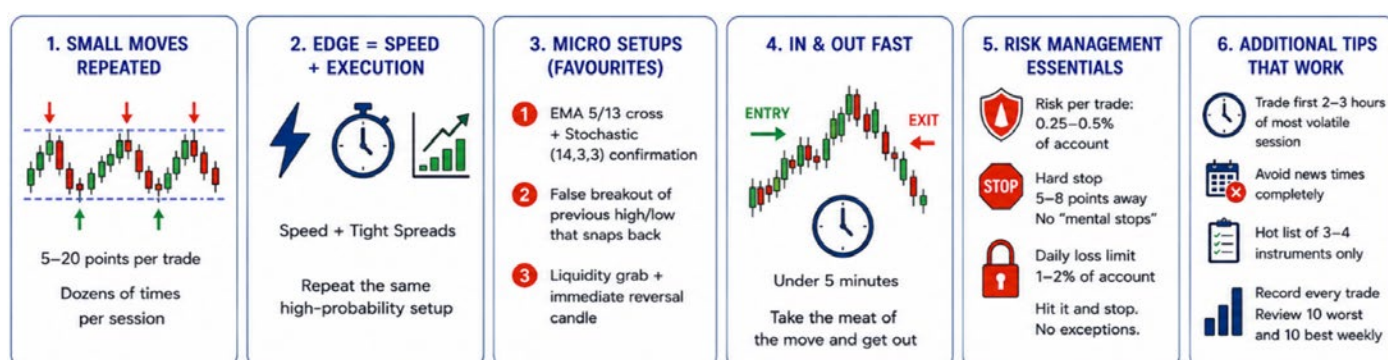
Scalping means taking dozens, or even hundreds, of tiny profits a day by jumping in and out of the market in seconds or a few minutes at a time. You are not trying to catch the big move — you are simply grabbing 5–20 ticks or points, repeatedly.

In the short term, price is never perfectly flat. It wiggles constantly between buyers and sellers, creating micro-inefficiencies you can exploit dozens of times per session. Think of it as catching lots of small fish quickly, rather than landing one big one.

## How this applies to markets

Every second, the market is alive with noise — news ticks, order flow, retail stops being hunted, algorithms rebalancing. A scalper doesn't care about the bigger picture. They only care whether the next 8–15 points are likely to go in their direction right now. The edge comes from speed, tight spreads, and repeating the same high-probability micro-setup over and over.

Traders often say: "Take the meat of the move and leave the bones for someone else." Scalpers want the quick, clean slice in the middle and get out before the reversal.



*Reality check: Most retail traders lose money scalping because they over-trade, chase, or let one loss wipe out ten small wins. It looks easy on a 1-minute chart but demands ice-cold discipline, lightning-fast execution, and rock-bottom transaction costs.*

On Deriv's synthetic indices (Volatility 75, Boom/Crash, etc.) the constant volatility makes it possible; on forex pairs you need a broker with razor-thin spreads and a responsive platform such as Deriv MT5.

### **Practical scalping approaches**

Focus on the highest-liquidity instruments only (Deriv Volatility indices, major forex pairs during London/New York overlap).

Use 1-minute or even tick charts.

Favourite setups:

- EMA 5/13 cross with Stochastic (14,3,3) confirmation
- Order-flow "trapped traders" (false break of previous high/low that snaps back)
- Liquidity grab + immediate reversal candle

Enter on the close of the trigger candle. Target is usually 8–20 points (or ticks). Exit is automatic—never hold longer than 3–5 minutes max.

### **Risk management essentials**

One bad trade can erase twenty small winners, so risk is tiny: maximum 0.25–0.5 % of account per trade.

Use a hard stop 5–8 points away—no "mental stops."

Daily loss limit (1–2 % of account) is sacred. Hit it and you switch the platform off. No exceptions.

### **Additional tips that work in practice**

Trade only the first 2–3 hours of the most volatile session (London open or New York open for forex pairs).

Avoid news times completely—scalping during high-impact news is gambling.

Keep a “hot list” of 3–4 instruments only. Master them instead of jumping around.

Record every trade with screenshot and review the 10 worst and 10 best at the end of every week.

### **Scalping rules system (simple checklist)**

Use this step-by-step checklist for every single trade to stay objective and disciplined:

- **Scan for opportunity** — Only the most liquid Deriv instruments (Volatility 75 Index, Volatility 100 Index, EUR/USD, GBP/USD during overlap). Must have tight spreads and constant movement.
- **Confirm the micro-trend** — On 1-minute chart price should be respecting the 5 & 13 EMA. Stochastic not in extreme territory yet.
- **Identify high-probability setup**
  - EMA 5 crossing 13 with Stochastic turning in the same direction, OR
  - False breakout of previous 5-minute high/low that immediately reverses, OR
  - Clear liquidity sweep + strong reversal candle.
- **Wait for confirmation** — Full candle close above/below trigger level. Volume spike or sudden tick acceleration on Deriv synthetic indices.
- **Entry options**
  - Aggressive: Enter on the exact candle close of the signal.
  - Conservative: Wait for first pullback to the 5 EMA and enter on the bounce.
- **Stop-loss placement** — Always 5–8 points (or ticks) away. Never move it wider. Risk must equal maximum 0.5 % of account.

- **Risk management** — Position size calculated so that stop distance = 0.25–0.5 % risk. Maximum 3–4 open trades at once. Daily loss limit 1–2 %—hit it and stop.
- **Exit rules** — Target 1.5 : 1 to 2 : 1 reward-to-risk (e.g. 10-point stop = 15–20 point target).  
Or trail with 5 EMA once +10 points in profit.
- **Never hold longer than 5 minutes. Take profit automatically**—no hoping.
- **Avoid traps** — No trading during news, no revenge trades after a loss, no widening stops, no trading when tired or emotional. If you have three losing trades in a row, take a 30-minute break.
- **Stick to the plan** —it turns scalping from a frantic guessing game into a repeatable, mechanical process.

### FAVOURITE MICRO SETUPS (EXAMPLES)



## **Summary**

Scalping is fast, exciting and can be extremely profitable when done correctly because small edges repeated 30–50 times a day add up fast. It suits traders who love action, have iron discipline, and can sit in front of the screen for focused sessions.

Scalping is not for everyone. The mental intensity, the screen time, and the need for perfect execution can burn people out very quickly.

Master the checklist, keep risk microscopic, and test everything first on a Deriv Demo account. When you can consistently scalp profitably on demo — and only then — should you go live with real money.

Scalping would work very well with automated trading, and it's worth looking at ways you could use a trading bot such as Deriv DBot or others that can work with Deriv MT5.

## 5. SCALPING

Scalping means taking dozens (or even hundreds) of tiny profits every day by jumping in and out of the market in seconds or a few minutes.



**Goal:** Grab 5–20 points or ticks repeatedly. Take the meat of the move and leave the bones for someone else.

### HOW IT WORKS

Price constantly wiggles between buyers and sellers, creating micro-inefficiencies you can exploit dozens of times per session.



Edge comes from speed, tight spreads, and repeating the same high-probability micro-setup over and over.

### PRACTICAL SCALPING APPROACHES

- Focus on highest-liquidity instruments (Deriv Volatility indices, major forex pairs during London/New York overlap).
- Use 1-minute or tick charts.
- Favourite setups:
  - 1 EMA 5/13 cross + Stochastic (14,3,3)
  - 2 False breakout of previous high/low that snaps back
  - 3 Liquidity grab + immediate reversal candle
- Enter on close of trigger candle.
- Target: 8–20 points (or ticks).
- Exit automatically—never hold longer than 3–5 minutes.



In and out fast



Target 8–20 points

### RISK MANAGEMENT ESSENTIALS



Risk per trade: Maximum 0.25–0.5% of account.



Hard stop 5–8 points away. No “mental stops.”



Daily loss limit (1–2% of account) is sacred. Hit it and you stop. No exceptions.

### ADDITIONAL TIPS THAT WORK



Trade only first 2–3 hours of most volatile session (London open or New York open for forex pairs).



Avoid news times completely—scalping during high-impact news is gambling.



Keep a “hot list” of 3–4 instruments only.



Record every trade with screenshot and review the 10 worst and 10 best at the end of every week.

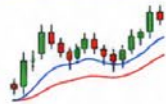
### SCALPING RULES SYSTEM (SIMPLE CHECKLIST)

#### 1. SCAN FOR OPPORTUNITY



Only the most liquid Deriv instruments (Volatility 75 Index, Volatility 100 Index, EUR/USD, GBP/USD during overlap). Must have tight spreads and constant movement.

#### 2. CONFIRM MICRO-TREND



On 1-minute chart price should be respecting the 5 & 13 EMA. Stochastic not in extreme territory yet.

#### 3. IDENTIFY SETUP

- 1 EMA 5 crossing 13 with Stochastic turning in the same direction.
- 2 False breakout of previous 5-minute high/low that immediately reverses.
- 3 Liquidity sweep + strong reversal candle.

#### 4. WAIT FOR CONFIRMATION



Full candle close above/below trigger level. Volume spike or sudden tick acceleration (Deriv indices).



**Aggressive:** Enter on the exact candle close of the signal.



**Conservative:** Wait for first pullback to the 5 EMA and enter on the bounce.

#### 6. STOP-LOSS PLACEMENT



Always 5–8 points (or ticks) away. Never move it wider. Risk max 0.5% of account.

#### 7. RISK MANAGEMENT



0.25–0.5% Risk per trade

- Position size so stop distance = 0.25–0.5% risk.
- Max 3–4 open trades at once.
- Daily loss limit 1–2% – hit it and stop.

#### 8. EXIT RULES



- Target 1.5:1 to 2:1 reward-to-risk (e.g. 10-point stop = 15–20 point target).
- Or trail with 5 EMA once +10 points in profit.
- Never hold longer than 5 minutes.
- Take profit automatically—no hoping.

#### 9. AVOID TRAPS



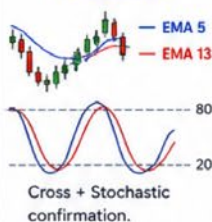
- No trading during news.
- No revenge trades after a loss.
- No widening stops.
- No trading when tired or emotional.
- If 3 losing trades in a row, take a 30-minute break.

#### 10. STICK TO THE PLAN



Stick to your rules every time. Turn scalping from a guessing game into a repeatable, mechanical process.

#### EMA 5/13 CROSS + STOCHASTIC



Cross + Stochastic confirmation.

#### FALSE BREAKOUT SNAP BACK



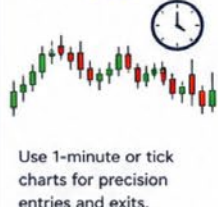
Break above previous high then snaps back.

#### LIQUIDITY GRAB + REVERSAL



Liquidity sweep followed by strong reversal candle.

#### 1-MINUTE CHART FOCUS



Use 1-minute or tick charts for precision entries and exits.

#### SCALPER MINDSET



- Fast decisions
- Ice-cold discipline
- Accept small wins and small losses
- Protect capital first

### SCALPING SUMMARY



Scalping is fast and exciting. Small edges repeated 30–50 times a day add up fast. It demands discipline, perfect execution, and ultra-low costs. Use the checklist, keep risk microscopic (0.25–0.5% per trade), and review every trade.

Test everything first on a Deriv Demo account. When you can consistently scalp profitably on demo, then and only then go live with real money.

### DERIV ADVANTAGE FOR SCALPERS



- ✓ Trade both long and short with CFDs
- ✓ Extended hours on major markets
- ✓ Synthetic indices = 24/7 volatility
- ✓ Fast execution on Deriv MTS



7 Effective Trading Strategies  
Every Trader Should Know



# Swing trading

Swing trading means holding positions for several days up to a few weeks to capture one solid price swing. Instead of grabbing dozens of tiny moves, you aim for one meaningful move of 50–300+ points (or pips) per trade while ignoring the daily noise.

In the medium term, markets move in clear waves — trends, pullbacks, and breakouts. A swing trader's job is to identify the start of a new leg and ride it until the momentum starts to fade. This is the trading equivalent of patiently waiting for the big fish to take the bait and then reeling it in steadily rather than scooping up hundreds of small ones.

### **How this applies to markets**

Price does not go straight up or down. It breathes — it rallies, corrects, consolidates, then rallies again. Swing traders exploit these natural swings by entering after a pullback in an established trend or at the beginning of a fresh breakout. They let winners run and do not panic over small counter-moves during the hold period.

Traders often say: "Let your winners run and cut your losers quickly." Swing traders live by this rule. They are happy to sit through normal volatility because they are playing for the bigger portion of the move, not the micro wiggles.

Reality check: Most retail traders fail at swing trading because they exit too early out of fear, move their stops too wide out of hope, or ignore the overall trend. It looks relaxed on a daily chart but still demands strong discipline and the ability to watch unrealized profits swing back and forth without closing the trade emotionally.

On Deriv's synthetic indices, particularly the Volatility 75 Index, Volatility 100 Index, and the Drift Switch Indices (DSI), the strong trending behaviour between volatility spikes makes swing trading very effective. The Drift Switch Indices are especially well-suited for swing trading because they frequently produce extended directional moves with clear swing points, giving traders excellent opportunities to ride trends for several days.

## Practical swing trading approaches

Focus on the 4-hour and daily timeframes.

Use clear trend structure and higher-timeframe alignment.

Favourite setups:

- Pullback to the 21 or 50 EMA in a strong daily trend on Volatility 75 Index or Drift Switch Indices
- Break and retest of a key daily/4H level or trendline
- Bullish/bearish flag or triangle continuation pattern after strong impulse move
- Moving average ribbon alignment + higher timeframe confirmation

### Trading Rules – Simplified

Entry: Enter the trade on the close of the trigger candle on the 4-hour chart.

Target / Take Profit: Aim for a reward-to-risk ratio between 1.5:1 and 3:1, or

Take profit at the next major swing high (if you are buying) or swing low (if you are selling).

### What does reward-to-risk ratio mean?

Risk = distance from your entry price to your stop-loss.

Reward = distance from your entry price to your target.

A 1.5:1 ratio means: For every \$1 you risk, you aim to make \$1.50 profit.

A 3:1 ratio means: For every \$1 you risk, you aim to make \$3 profit. In simple terms: You want your potential profit to be 1.5 to 3 times bigger than the amount you are willing to lose on the trade.

Holding Time:

Typical hold time is 2 to 10 trading days.

This works especially well on Deriv Volatility indices and Drift Switch Indices, where trends can stay strong for longer.

### **Risk management essentials**

One losing trade should never hurt much, so risk is still controlled: maximum 0.5–1 % of account per trade.

Use a hard stop below the recent swing low (for longs) or above the recent swing high (for shorts).

Weekly loss limit (3–5 % of account) is sacred. Hit it and you reduce size or take a few days off.

### **Additional tips that work in practice**

Trade only in the direction of the higher-timeframe trend (daily chart rules).

Avoid trading during major news events unless you have already entered before the release.

Keep a watchlist of maximum 6–8 instruments, focusing especially on Deriv Volatility 75, Volatility 100, and Drift Switch Indices (DSI) when they show strong trending behaviour.

Review every closed trade weekly—focus especially on why you exited early or held too long.

### **Swing trading rules system (simple checklist)**

Use this step-by-step checklist for every single trade to stay objective and disciplined:

- **Scan for opportunity** — Only instruments showing clear trend on the daily chart (Volatility 75 Index, Volatility 100 Index, Drift Switch Indices, major forex pairs, or strong trending synthetics). Must have good average daily range.
- **Confirm the higher-timeframe trend** — Daily chart must show higher highs & higher lows (uptrend) or lower highs & lower lows (downtrend). Price trading above/below the 50 and 200 EMA in the direction of the trade.

### Identify high-probability setup

- Clean pullback to the 21/50 EMA in a trending market on Deriv Volatility indices or Drift Switch Indices, OR
- Break and successful retest of a daily trendline or previous swing level, OR
- Clear continuation pattern (flag, pennant) after a strong impulse move. Wait for confirmation — 4-hour candle close in the direction of the trend with increasing momentum (e.g., Stochastic turning or strong bullish/bearish candle).

### Entry options

Aggressive: Enter on the 4H (4 hour) candle close of the signal.

Conservative: Wait for a small retracement to the 21 EMA and enter on the bounce. Stop-loss placement — Place stop below the most recent swing low (longs) or above swing high (shorts). Risk must equal maximum 0.5–1 % of account.

Risk management — Position size calculated so stop distance = 0.5–1 % risk. Maximum 2–3 open trades at once. Weekly loss limit 3–5 % — hit it and pause.

Exit rules — Target 1.5 : 1 to 3 : 1 reward-to-risk, or exit at the next major daily resistance/support level.

Or trail stop using the 50 EMA or previous swing lows once the trade is +1R in profit.

## Useful wave patterns for swing trading

You can improve your swing trading edge by learning a few simple wave concepts. Keep it basic at first:

- **Elliott Wave Theory** – Markets move in 5-wave impulses in the direction of the trend and 3-wave corrections against it. Look for wave 3 (strongest) or wave 5 entries after a wave 2 or 4 pullback on Deriv Volatility 75 Index or Drift Switch Indices.
- **Simple Price Swings** – Mark higher highs/higher lows in uptrends and lower highs/lower lows in downtrends. Enter on the first pullback after a new swing high/low is confirmed.
- **Gann Angles / Support & Resistance** – Use 45-degree trend lines or major horizontal levels from previous swing points. Many traders combine these with the 50 EMA for confluence on Volatility indices and DSI.

Start with just identifying clear 3-swing structures (impulse – correction – continuation). This adds context to your EMA and breakout setups without overcomplicating things.

Most charting packages will offer Gann Angles and Elliot wave tools.

## Summary

Swing trading offers a more balanced, less stressful approach than scalping. By focusing on Deriv's Volatility Indices, Drift Switch Indices (DSI), and major forex pairs on higher timeframes, you can capture larger, cleaner moves while spending far less time in front of the screen. Success comes from patience, strict trend alignment, and letting your winners run.

Master the daily and 4-hour charts, respect your risk rules, and swing trading can deliver consistent, high-quality returns with much lower emotional pressure than fast scalping.



## 6. SWING TRADING

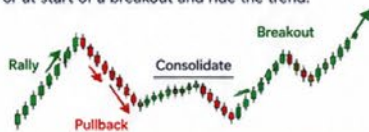
Hold positions for several days to weeks to capture one solid price swing (50–300+ points). Ignore daily noise. Ride the wave.



**Goal:** Let your winners run and cut your losers quickly.

### HOW IT WORKS

Price moves in waves—rallies, pullbacks, consolidations, breakouts. Enter after pullback or at start of a breakout and ride the trend.



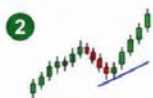
We play the bigger portion of the move, not the micro wiggles.

### PRACTICAL SWING TRADING APPROACHES

- Focus on 4-hour and daily timeframes.
- Use clear trend structure and higher-timeframe alignment.
- Favourite setups:



Pullback to 21 or 50 EMA in a strong daily trend (Volatility 75 Index or Drift Switch Indices).



Break and retest of a key daily/4H level or trendline.



Bullish/bearish flag or triangle continuation pattern after a strong impulse move.



Moving average ribbon alignment + higher timeframe confirmation.

### TRADING RULES – SIMPLIFIED

**ENTRY:** Enter the trade on the close of the trigger candle on the 4-hour chart.



#### TARGET / TAKE PROFIT:

Aim for a reward-to-risk ratio between 1.5:1 and 3:1, or take profit at the next major swing high (buy) or swing low (sell).



#### What does reward-to-risk ratio mean?

Risk = distance from entry to stop-loss.

Reward = distance from entry to target.

**1.5:1**

For every \$1 risk, aim to make \$1.50.

**3:1**

For every \$1 risk, aim to make \$3.



#### HOLDING TIME:

Typical hold time is 2 to 10 trading days.

### RISK MANAGEMENT ESSENTIALS



Risk per trade: Maximum 0.5–1% of account.



Stop below recent swing low (longs) or above recent swing high (shorts).



Weekly loss limit (3–5% of account) is sacred. Hit it and reduce size or take a few days off.



One losing trade should never hurt much.

### ADDITIONAL TIPS THAT WORK



Trade only in the direction of the higher-timeframe trend (daily chart rules).



Avoid trading during major news events unless already in a position.



Keep a watchlist of max 6–8 instruments. Focus on Deriv Volatility 75, Volatility 100, and Drift Switch Indices (DSI) when trending strongly.



Review every closed trade weekly—focus on why you exited early or held too long.

### BEST MARKETS FOR SWING TRADING (DERIV)



**Volatility 75 Index**  
Strong trends between volatility spikes.



**Volatility 100 Index**  
Bigger moves, excellent swing opportunities.



**Drift Switch Indices (DSI)**  
Extended directional moves with clear swing points.

### SWING TRADING RULES SYSTEM (SIMPLE CHECKLIST)



#### 1 SCAN FOR OPPORTUNITY

Only instruments with clear daily trend: V75, V100, DSI, major forex pairs, or strong trending synthetics. Must have good average daily range.



#### 2 CONFIRM HIGHER-TIMEFRAME TREND

Daily chart:  
Uptrend = higher highs & higher lows  
Downtrend = lower highs & lower lows  
Price above/below 50 & 200 EMA in direction of trade.



#### 3 IDENTIFY SETUP

- Pullback to 21/50 EMA
- Break & retest of trendline/level
- Flag/pennant after impulse move



#### 4 WAIT FOR CONFIRMATION

4H candle close in direction of trend with momentum (Stochastic turning or strong candle).



#### 5 ENTRY OPTIONS

**Aggressive:** Enter on 4H candle close.  
**Conservative:** Wait for pullback to 21 EMA and enter on bounce.



#### 6 STOP-LOSS PLACEMENT

Below recent swing low (longs) or above swing high (shorts).  
Risk must equal max 0.5–1% of account.



#### 7 RISK MANAGEMENT

Position size so stop distance = 0.5–1% risk.  
• Max 2–3 open trades at once.  
• Weekly loss limit 3–5% – hit it and pause.



#### 9 AVOID RULES

- No trading during news
- No revenge trades
- No widening stops
- Don't trade when tired or emotional
- 3 losing trades in a row = 30-min break



#### 10 STICK TO THE PLAN

Discipline turns swing trading into a repeatable, mechanical process.

### USEFUL WAVE PATTERNS FOR SWING TRADING

#### 1 ELLIOTT WAVE THEORY



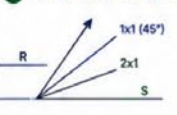
Markets move in 5-wave impulses (1–5) and 3-wave corrections (A–C). Look for wave 3 or 5 entries after a wave 2 or 4 pullback.

#### 2 SIMPLE PRICE SWINGS



**Uptrend:** Higher Highs (HH) & Higher Lows (HL)  
**Downtrend:** Lower Highs (LH) & Lower Lows (LL)  
Enter on first pullback after new swing high/low.

#### 3 GANN ANGLES / S & R



Use 45° angles and key support/resistance from swing points. Combine with 50 EMA for strong confluence.

### EXAMPLE: SWING TRADE SETUP (4H CHART)



Patience + trend alignment + letting winners run = consistent swing trading success.



### SWING TRADING SUMMARY

- Capture one solid swing of 50–300+ points over several days to weeks.
- Focus on higher timeframes, trend alignment & high-probability setups.
- Use strict risk management and let your winners run.
- Works exceptionally well on Deriv Volatility indices and Drift Switch Indices (DSI).
- Patience, discipline and consistency create long-term profits.

### WHY SWING TRADE WITH DERIV?

- ✓ Volatility 75 & 100 Index – strong trends between spikes
- ✓ Drift Switch Indices (DSI) – extended directional moves
- ✓ Trade both long & short with CFDs
- ✓ Low spreads & flexible leverage
- ✓ Perfect for multi-day holds (2–10 days)



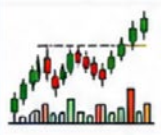
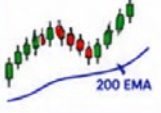
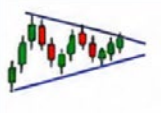
7 Effective Trading Strategies  
Every Trader Should Know

# **7** Trend following & position trading

Trend following and position trading mean identifying the major upward or downward moves in a market and riding them for weeks, months, or even years. Instead of fighting the direction, you get on board and stay with the trend for as long as it remains healthy.

This is one of my personal favourites, and a style I've been using profitably for well over 35 years. Trend following can profit from both long (up) and short (down) trends, while position trading tends to focus on holding substantial long positions based on major market trends and underlying fundamentals.

## 7. TREND FOLLOWING & POSITION TRADING

| 1. CONCEPT OVERVIEW                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 2. HOW IT WORKS                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 3. FAVOURITE SETUPS                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 4. RISK MANAGEMENT ESSENTIALS                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>Identify major market trends and ride them for weeks, months, or even years.</p> <p>Let the trend do the heavy lifting while you let profits accumulate.</p>  <p><b>Goal:</b> Capture big, sustained moves and build long-term wealth.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | <p>Markets spend most of their time trending, not chopping sideways.</p> <p><b>UPTREND</b> <b>DOWNTREND</b> <b>SIDWAYS</b></p>  <p>The trend is your friend... until the end when it bends.</p> <p>Hold time: several weeks to several years.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |  <p>Break and close above multi-month high on strong volume.</p>  <p>Pullback to the 200 EMA or major trendline in an established uptrend.</p>  <p>Breakout from long-term patterns (ascending triangle or cup-and-handle, etc.).</p>  <p>Fundamental confirmation: rising earnings, positive economic data, supportive central bank policy.</p> | <p> Risk no more than 0.5–1% of your total account per position.</p> <p> Use trailing stops based on the 200 EMA, ATR, or major swing lows.</p> <p> Give trades room to breathe—tight stops get you stopped out on normal volatility.</p> <p> Never add to a losing position.</p> |
| 5. ADDITIONAL TIPS THAT WORK                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 6. TREND FOLLOWING & POSITION TRADING RULES SYSTEM (SIMPLE CHECKLIST)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <p> Always trade in the direction of the higher-timeframe trend (monthly rules).</p> <p> Combine technical signals with fundamentals (strong GDP growth, falling rates, etc.).</p> <p> Diversify across 5–10 uncorrelated positions to reduce risk.</p> <p> Review portfolio weekly, not obsessively daily.</p> <p> Be prepared for long periods of inactivity—patience pays.</p> | <ol style="list-style-type: none"> <li><b>1 Scan for major trends</b> – Use weekly/monthly charts. Look for clear uptrends (price above 200 EMA, higher highs &amp; higher lows) or downtrends (price below 200 EMA, lower highs &amp; lower lows). Avoid sideways/choppy markets.</li> <li><b>2 Confirm the big picture</b> – Monthly chart must support the direction with strong fundamentals (economy, sector strength, policy support).</li> <li><b>3 Identify setups</b> – Breakout above multi-month resistance/all-time highs, OR pullback to 200 EMA or trendline, OR reversal pattern at major support.</li> <li><b>4 Wait for confirmation</b> – Weekly/daily close above breakout level or above 200 EMA. Volume shows clear conviction.</li> <li><b>5 Entry options</b> – Aggressive: Enter on breakout/confirmation close. Conservative: Wait for pullback to 200 EMA or broken resistance and enter on bounce.</li> <li><b>6 Stop-loss placement</b> – Place stops well below recent major swing low or below 200 EMA (longs). Give trade room (8–15% depending on volatility). Risk max 0.5–1% per position.</li> <li><b>7 Risk management</b> – Position size based on stop distance. Aim for 3:1 to 4:1 reward-to-risk. Portfolio heat max 5–6%. Max drawdown limit 15–20%.</li> <li><b>8 Exit rules</b> – Trail stops using 200 EMA, previous swing lows, or % trailing stop (10–15% from peak). Take partial profits at major long-term targets or signs of exhaustion.</li> <li><b>9 Avoid traps</b> – No counter-trend trading, no adding to losers, no emotional exits, no over-concentration. If monthly trend breaks, exit.</li> <li><b>10 Stick to the plan</b> – Filters out noise, protects capital, and captures life-changing moves.</li> </ol> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |



## How this applies to markets

Markets spend most of their time trending, not chopping sideways. Once a strong trend begins—driven by economic growth, interest rate cycles, commodity supercycles, or major shifts in sentiment—it can last far longer than most traders expect. Position traders and trend followers simply let the market do the heavy lifting while they sit back and let profits accumulate.

Traders often say: “The trend is your friend... until the end when it bends.” The real money in trading is made by capturing the big, sustained moves rather than the small daily noise.

History shows the power of this approach: some of the greatest fortunes in trading were built by simply riding multi-year trends in stocks, commodities, or currencies. The key is having the patience and discipline to stay with the trend even when it looks like it’s about to end.

*Reality check: Most retail traders fail at trend following and position trading because they get shaken out during normal pullbacks, enter too late after the trend is obvious, or hold losing positions hoping for a reversal. It looks easy on a monthly chart, but it demands strong emotional control and the willingness to sit through drawdowns of 20–40% while the trend temporarily pauses or corrects.*

## Practical trend following & position trading approaches

Use higher timeframes: weekly and monthly charts for the big picture, daily charts for precise entry and risk management.

Favourite setups include:

- Price breaking and closing above a multi-month high on strong volume (for longs)
- Pullbacks to the 200-period moving average or a major trendline in an established uptrend
- Breakouts from long-term chart patterns such as ascending triangles or cup-and-handle formations
- Fundamental confirmation: rising earnings, positive economic data, or supportive central bank policy. Enter on weekly or daily confirmation. Typical hold time ranges from several weeks to several years. You will usually run multiple positions at the same time across different assets or sectors.

## Risk management essentials

Risk no more than 0.5–1% of your total account per position. Because hold times are long, you must give trades enough room to breathe—tight stops will get you stopped out on normal volatility.

Use trailing stops based on the 200-period moving average, ATR, or previous major swing lows to protect profits as the trend matures. Never add to a losing position.

Additional tips that work in practice

Always trade in the direction of the higher-timeframe trend—never fight the monthly chart.

Combine technical trend signals with basic fundamentals (for example, strong GDP growth or falling interest rates for long stock indices).

Diversify across 5–10 uncorrelated positions to reduce risk.

Review your entire portfolio once a week, but avoid checking it obsessively every day.

Be prepared for long periods of inactivity—trend following rewards patience, not constant action.

### **Trend following & position trading rules system (simple checklist)**

Use this step-by-step checklist for every setup to stay objective and disciplined:

- **Scan for major trends** — Focus on weekly and monthly charts. Look for assets in clear, sustained uptrends (price well above the 200 EMA and making higher highs/higher lows) or downtrends (price below the 200 EMA with lower highs/lower lows). Ignore sideways or choppy markets.
- **Confirm the big picture** — The monthly chart must support the direction. Look for fundamental tailwinds (strong economy, sector strength, or policy support) that can sustain the move for months or years.

- **Identify setups**

- Breakout above multi-month resistance or all-time highs on expanding volume, OR
- Healthy pullback to the 200-period EMA or rising trendline in an established uptrend, OR
- Reversal pattern (such as double bottom or bullish engulfing) at major long-term support. Wait for confirmation — Weekly or daily candle close above the breakout level or above the 200 EMA. Volume should show clear conviction on the move.

- **Entry options**

Aggressive: Enter on the breakout or confirmation candle close.

Conservative: Wait for a pullback to the 200 EMA or broken resistance (now support) and enter on the bounce with confirmation.

## **Stop-loss placement**

Place stops well below the most recent major swing low or below the 200 EMA (for longs). Give the trade enough room—typically 8–15% depending on the asset's volatility. Risk must not exceed 0.5–1% of your total account per position.

Risk management — Position size calculated strictly from stop distance. Aim for minimum 3:1 or 4:1 reward-to-risk on every trade. Portfolio heat (total risk across all open positions) should never exceed 5–6%. Set a maximum portfolio drawdown limit (e.g., 15–20%) and reduce exposure if hit.

Exit rules — Let winners run: Trail stops using the 200 EMA, previous major swing lows, or a percentage trailing stop (e.g., 10–15% from peak).

Take partial profits only at major long-term targets or when the trend shows clear signs of exhaustion (price closing below the 200 EMA on

weekly chart, massive divergence, or fundamental deterioration).

Never exit a strong trend just because it “feels” extended. Avoid traps — No counter-trend trading, no adding to losers, no emotional exits during normal corrections, no over-concentration in one asset or sector. If the monthly trend breaks, exit without hesitation. Avoid forcing trades during sideways markets—cash is a position.

Stick to the plan —it filters out noise, protects your capital during corrections, and allows you to capture the truly life-changing moves when big trends develop.

### Summary

Trend following combined with position trading is a powerful, time-tested approach that has created enormous wealth for patient traders over decades. By aligning yourself with the market’s major directional moves and letting profits run, you can achieve substantial long-term gains with relatively low daily screen time.

This style suits disciplined, patient traders who are comfortable holding through volatility and drawdowns in exchange for much larger rewards. It is not for those who crave constant action or need quick results.

Master the checklist, respect the higher-timeframe trend, and control your risk tightly. Test the approach thoroughly on a Deriv Demo account first, then move on to real trading.

# Useful websites and resources

Here are some helpful websites to support your trading journey. Most offer free tools, with optional paid upgrades for more features, but in most cases the free tools work well enough.

## Charting and market analysis

[TradingView.com](https://www.tradingview.com) — Powerful interactive charts with tons of technical indicators, drawing tools, and community ideas. Great for beginners and experienced traders alike.

[www.barchart.com](https://www.barchart.com) — Excellent for stock quotes, technical analysis, futures, and market data. Easy-to-use charts and scanners.

[www.finviz.com](https://www.finviz.com) — Fast stock screener with heatmaps, charts, and financial visualizations. Perfect for quickly finding trading opportunities.

[mt5.com](https://mt5.com) — Official website for MetaTrader 5 (MT5), the popular free trading platform. Download the desktop, web, or mobile version here and access advanced charting, indicators, and automated trading tools.

[StockCharts.com](https://stockcharts.com) — Clean, advanced charting tools focused on technical analysis. Includes educational resources and reliable indicators.

## Screeners and data tools

Yahoo Finance ([finance.yahoo.com](https://finance.yahoo.com)) — Free stock quotes, news, financial statements, and basic charts. A simple all-in-one starting point.

[Investing.com](https://investing.com) — Real-time quotes, economic calendars, news, and charts for stocks, forex, and more.

## Education and learning

Deriv Academy ([traders-academy.deriv.com](https://traders-academy.deriv.com)) — Free trading courses and lessons, especially useful for forex and derivatives.

**BabyPips.com** — Fun, easy-to-follow free school for learning forex and trading basics (highly recommended for complete beginners).

**Investopedia.com** — Clear explanations of trading terms, strategies, and concepts. Great glossary and tutorials.

### News and additional tools

Forex Factory (**forexfactory.com**) — Popular economic calendar, news, and forum for traders.

Simply Wall St (**simplywall.st**) — Visual portfolio tracker and stock insights with easy-to-understand graphics.

### X accounts to follow

X, formerly Twitter, remains an excellent source for trading updates and data.

**@Vince\_Stanzione** — 41+ years trading experience, spreads, derivatives, commodities, short-selling insights.

**@Barchart** — Real-time market data, charts, news, and tools across stocks, options, futures, commodities, and forex. Perfect pulse on the markets.

### Top technical/chart-focused traders

**@PeterLBrandt** — Classic chart trader (since 1975), Market Wizard, transparent with wins/losses. Excellent classical charting, price-action ideas, and long-term setups on futures and commodities.

**@KimbleCharting** — Chris Kimble's technical analysis. Focuses on chart patterns for reversals and breakouts—very visual "chart art" style that highlights extremes.

**@ChartGuys** — Live technical analysis, chart patterns, and 24/7 market coverage (stocks + crypto). Great for real-time pattern breakdowns and community discussion.

### Momentum, day/swing trading, and recaps

**@ripster47** — Daily trade recaps, momentum ideas, and his own Ripster Cloud System charts. Very transparent with setups and market flow.

**@InvestorsLive** (Nathan Michaud) — Real-time day and swing trading: entries, exits, and reasoning behind each move. One of the better accounts for watching actual trade execution.

**@LindaRaschke** — Veteran pro trader (featured in New Market Wizards). Short-term technical setups and market commentary from a lifelong student of the markets.

## **Final thoughts**

Trading is a journey, not a sprint. The seven strategies in this ebook — from breakout and day trading to momentum, news, scalping, swing, and trend/position trading — give you a complete toolkit to suit any style, time frame, or personality.

The real secret to success isn't trying to master them all at once. It's picking one or two that feel right for you, practising them relentlessly on a demo account, and sticking to iron-clad risk management and discipline.

Markets will always test your emotions, but with patience, continuous learning, and the right tools, they can also reward you handsomely over time — just as they have for me over more than 40 years.

Deriv makes that journey easier and more accessible than ever. Intuitive platforms, synthetic indices with constant volatility, low minimum deposits starting at just \$5, and a completely free demo account let you test every idea in this ebook without risking a single cent.

Pair that with Deriv Academy's free courses, and you have everything you need to move from theory to confident, profitable trading at your own pace.

I hope this ebook has given you clarity, inspiration, and practical ideas you can put to work immediately.

Trade smart, stay disciplined, keep learning — and above all, enjoy the process. Here's to your trading success!

**Vince Stanzione**

## **Glossary of trading terms (A–Z)**

### **ATR (Average True Range)**

A technical indicator that measures market volatility by showing how much an asset typically moves in a given period. Used to set realistic stop-loss distances and trailing stops.

### **Ascending Triangle**

A bullish continuation pattern where price makes higher lows but meets resistance at roughly the same level, often leading to an upside breakout.

### **Boom/Crash Indices**

Deriv's synthetic indices that simulate sudden sharp price spikes (Boom) or drops (Crash), popular for scalping and short-term trading.

### **Breakout**

When the price moves decisively above a resistance level or below a support level, often with increased volume. Traders expect the move to continue in that direction.

### **Bull Flag**

A short-term consolidation pattern that looks like a flag on a pole after a strong upward move. Often signals continuation of the uptrend.

### **Candlestick/Candle Close**

A visual representation of price action over a specific time period. Traders often wait for a full candle to close before entering to avoid false signals.

### **CFD (Contract for Difference)**

A derivative product that lets you trade on price movements without owning the underlying asset. Offered by Deriv with leverage.

## **Consolidation/Sideways Range**

A period when price moves within clear upper (resistance) and lower (support) boundaries without a strong directional trend.

## **Cup and Handle**

A bullish chart pattern that resembles a teacup. The "cup" is a rounded bottom followed by a smaller "handle" consolidation, typically leading to a breakout higher.

## **Day trading**

Buying and selling the same asset within one trading session (no overnight positions).

## **Divergence**

When price moves in one direction but an indicator (e.g., RSI or Stochastic) moves in the opposite direction. Often signals weakening momentum and a possible reversal.

## **Drift Switch Indices (DSI)**

Deriv's synthetic indices designed with strong trending behaviour and clear swing points, excellent for swing and trend trading.

## **Drawdown**

The decline in account balance from its peak to its lowest point. A key risk metric.

## **Economic Calendar**

A schedule of upcoming economic data releases, central bank decisions, and earnings reports.

## **EMA (Exponential Moving Average)**

A moving average that gives more weight to recent prices (e.g., 5, 13, 21, 50, 200 periods).

## **Elliott Wave Theory**

A method of analysing market cycles by identifying repetitive 5-wave impulse and 3-wave correction patterns.

## **Fakeout/False Breakout**

When price briefly breaks a level but quickly reverses, trapping early traders.

## **FOMO (Fear Of Missing Out)**

The emotional urge to jump into a fast-moving market, often leading to poor entries.

## **Gann Angles**

Trend lines drawn at specific angles (especially 45 degrees) used to identify support, resistance, and trend changes.

## **Leverage**

Borrowed capital from the broker that magnifies both potential profit and risk.

## **Liquidity**

How easily an asset can be bought or sold without affecting its price. High liquidity = tight spreads.

## **Momentum**

The speed and strength of a price move. Strong momentum with volume often continues.

## **Momentum trading ("Momo")**

Buying strongly rising assets and selling (or shorting) sharply falling ones.

## **Moving Average Ribbon**

Multiple moving averages plotted together to confirm strong trends.

## **News trading**

Trading based on market reactions to economic news, earnings, or surprise events.

## **Opening Range**

The high and low of the first 15–30 minutes of a trading session. Popular for day trading breakouts.

## **Overbought / Oversold**

Overbought (e.g.,  $RSI > 70$ ) = price risen too far too fast. Oversold ( $RSI < 30$ ) = price fallen too far too fast.

## **Pip / Point / Tick**

The smallest price move in forex or synthetic indices. Scalpers target 5–20 per trade.

## **Position trading**

A long-term style (weeks to years) focused on major market trends and fundamentals.

## **Pullback / Retracement**

A temporary counter-move against the main trend, often used as a good entry point.

## **Resistance**

A price level where selling pressure tends to stop the price from rising further.

## **Reward:Risk Ratio**

The potential profit compared to the amount risked (e.g., 2:1 means

aim to make twice what you risk).

### **RSI (Relative Strength Index)**

A momentum oscillator that shows if an asset is overbought or oversold.

### **Scalping**

Making dozens or hundreds of very small trades (seconds to minutes) to capture tiny price changes.

### **Stochastic Oscillator**

A momentum indicator used to identify overbought/oversold conditions and turning points.

### **Stop-Loss**

An automatic order to close a trade at a predetermined price to limit losses.

### **Support**

A price level where buying interest tends to prevent the price from falling further.

### **Swap / Overnight Fees**

Interest charged or credited for holding positions overnight.

### **Swing trading**

Holding positions for several days to weeks to capture one solid price swing.

### **Synthetic Indices**

Deriv's proprietary 24/7 instruments (Volatility 75, Volatility 100, Boom/Crash, Drift Switch, etc.) with constant volatility.

## **Trailing Stop**

A dynamic stop-loss that moves with the price to lock in profits.

## **Trend**

The general direction of price movement (uptrend = higher highs & lows; downtrend = lower highs & lows).

## **Trend following**

Identifying and riding established long-term trends.

## **Volatility**

The degree of variation in an asset's price. High volatility = more opportunities and risk.

## **Volume**

The number of shares/contracts traded. Rising volume confirms strength in breakouts and trends.

## **VWAP (Volume Weighted Average Price)**

An intraday indicator used by day traders as dynamic support/resistance.

## **Whipsaw**

When price moves sharply one way then reverses quickly, triggering stops on both sides.

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